

quently is not taken care of in indentures or charter provisions. The point referred to is the maintenance of an adequate amount of junior capital. We have previously emphasized the principle that such junior capital is an indispensable condition for any sound fixed-value investment. No loan could prudently be made to a business at 3 or 4% interest unless the business were worth a considerable amount over and above the amount borrowed. This is elementary and well understood. But it is not generally realized that the corporation laws permit the withdrawal of substantially all the capital and surplus after the loan has been made. This can be done by the legal process of reducing the capital to a nominal sum and distributing the amount of the reduction to the stockholders. Such a maneuver the creditors are powerless to prevent unless they have specifically guarded against it in their loan contract.

*Danger in the Right to Reduce Stated Capital.* Let us attempt to bring this point home by a hypothetical example. A company is engaged in the business of lending money on installment accounts. It has \$2,100,000 of capital and surplus. Ostensibly for the purpose of expanding its operations, it borrows \$2,000,000 by sale of a 20-year 5% debenture bond issue. The earnings and stock equity appear to provide sufficient protection for the bonds. Business subsequently falls off, and the company has a substantial amount of unused cash. The stockholders vote to reduce the capital to \$100,000 (in theory it might be reduced to \$1), and they receive back \$2,000,000 in cash, as a return of capital.

In effect the stockholders have recovered their capital with the cash supplied by the bondholders, but they retain ownership and control of the business together with the right to receive all profits above 5%. The bondholders find themselves in the absurd position of having provided all the capital and having thereby assumed all the risk of loss, without any share in the profits above ordinary interest. Such a development would be most unfair, but apparently it can be carried out legally unless the indenture of the bond issue specifically prevented it by stipulating that no distributions could be made to the stockholders that would reduce the capital and surplus below a certain figure.

The removal of the bondholders' "cushion" by its direct withdrawal in cash—as in our hypothetical example—is a rare, perhaps unexampled, occurrence. But a corresponding situation does actually arise in practice